this behavior happens 27% of the time. Sometimes the breakout is upward, meaning the rise to G sees price close above X. That's not the case in this example, though. Here, price breaks out downward at E when price closes a whisker below the low at A.

If you had shorted the stock after D when price started moving lower and placed a tight stop a penny above the high at D, you would have been stopped out of the trade for a loss. Then the stock would have rubbed salt into the loss when price dropped in a straight-line run down to E. At E, the stock bounced off support and the bearish decline ended … for a time.

Table 37.1 Identification Guidelines

Characteristic	**Discussion**
Appearance	Looks like a big W with the turns located by Fibonacci ratios.
BA/XA retrace	The ratio of BA/XA is .618.
BC/BA retrace	The ratio of BC/BA is one of .382, .5, .618, .707, .786, or .886.
DC/BC extension	The extension of leg DC to BC is one of the Fibonacci numbers: 1.13, 1.27, 1.41, or 1.618.
DA/XA retrace	The ratio of DA to XA is .786.
Volume	Volume is downward the majority of the time, but this is an observation, not a requirement.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for most chart patterns.